XY Group M&A strategy

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Needs updating

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XY Group and the Creative Marketing Landscape

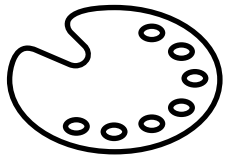
- XY is a creative agency and incubator that collaborates with global brands to achieve visionary creativity, culture, and craft across brand design, campaigns, rapidly developing media technologies, and experiences.
- Specializes in working with global premium & luxury brands, as evidenced by a portfolio of projects with renowned luxury and prestige fashion and beauty brands.
- Unique capability to drive aspirational image and culturally resonant marketing programs that position brands for what is new and next in consumer demand.
- Fully integrated from strategy & ideation through 360 creative development and end-to-end production.
- Driven by the visionary leadership of Mark Loy, a committed partner in highness and lifeenrgful private equity funds, a best-in-class accretive acquisition approach, and renowned capabilities in Creative and Tech.

XY Group Solves Brand Strategy for Prestige Brands

Introduction to Closer Group

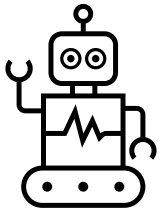
- XY Group is a creative agency and incubator that collaborates with luxury brands to achieve consistency of vision, culture, and craft across rapidly developing markets. The company operates globally with centers in New York, London, and Thessaloniki.
- Driven by the visionary leadership of Mark Loy, a committed partner in Highpost and Meaningful private equity funds, a best-in-class accretive acquisition approach, and renowned capabilities in Creative and Tech.

Product Offerings



Creative

Brand Strategy



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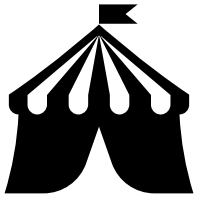


Next-Gen Events

XY Group Solves Brand Strategy for Prestige Brands

Introduction to Closer Group

Full List of Brands

- Aveda
- Air Company (Airco)
- Audemars Piguet
- Chanel Beauty
- Comme Des Garcons
- [illegible]

Groups

- LVMH
- Estée Lauder Companies
- [illegible]

Existing Verticals

- Hospitality - Royal Atlantis
- Fashion - Dior, Miu Miu, Louis Vuitton
- [illegible]

[illegible]

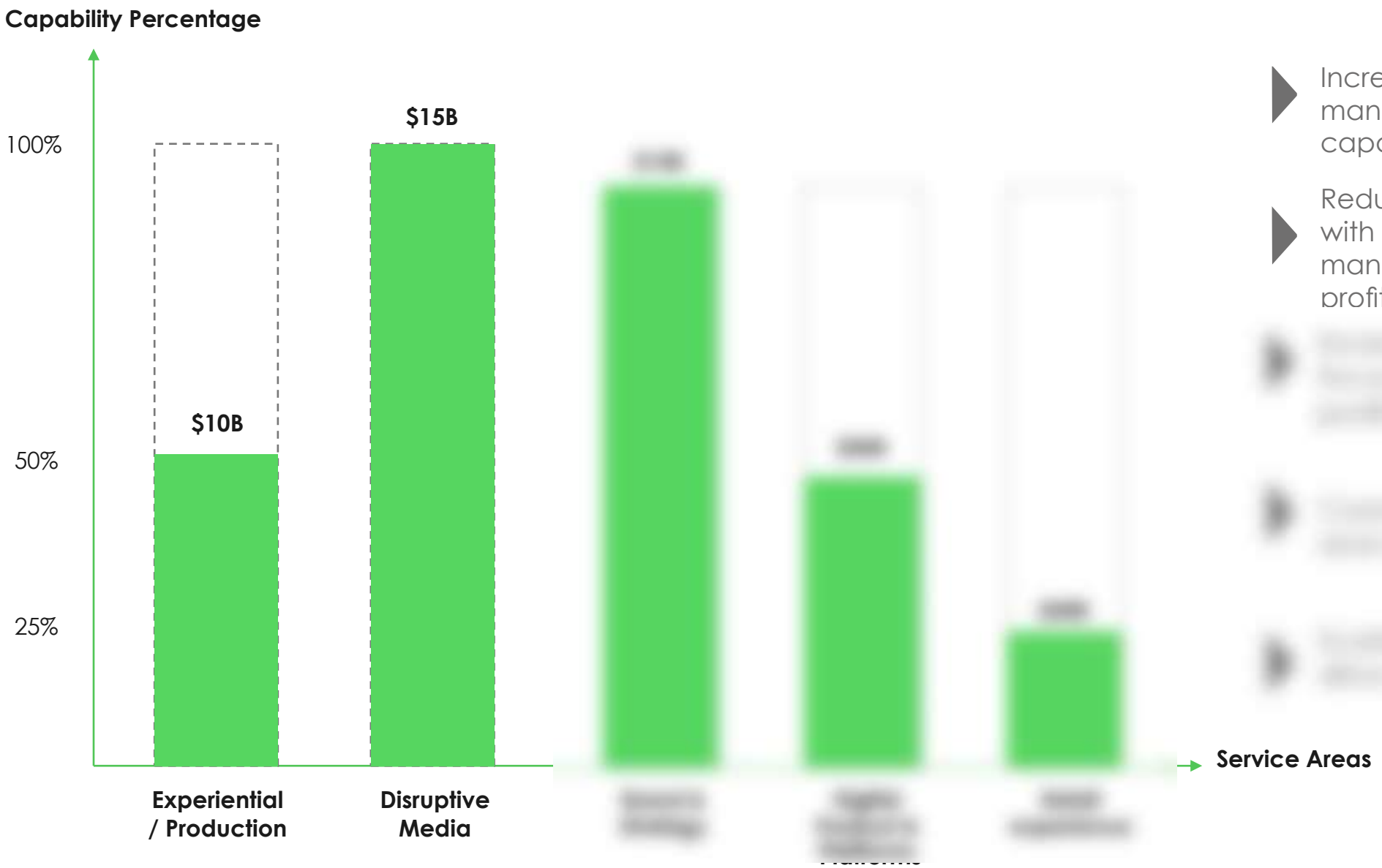
- [illegible]

XY Group Solves Brand Strategy for Prestige Brands

Introduction to XY Group

- XY Group is a creative agency and incubator that collaborates with luxury brands to achieve consistency of vision, culture, and craft across rapidly developing markets. The company operates globally with centers in New York, London, and Thessaloniki.
- Driven by the visionary leadership of XXX, a committed partner in Highpost and Meaningful private equity funds, a best-in-class accretive acquisition approach, and renowned capabilities in Creative and Tech.
- XY Group specialises in working with high-end brands, as

Our Current Capabilities & Revenue Contribution



- Increased efficiency due to lean management, and global hubs for capability management
- Reduced onboarding requirements, with one P&L globally, not managing complexity of multiple profit centers

Our Current Capabilities & Revenue Contribution

- Increased efficiency due to lean management, and global hubs for capability management
- Scalable AI and ML platform to drive transformative automation

100% Capable | 50% Capable | 25% Capable

The Creative Marketing Space is a $100B Opportunity…

£20B

CLOSER STUDIO

- Automated Scaling Capabilities
- Omni-channel data analytics
- Marketplace Technology
- Growth market specialists (China, India, MENA)

Key Trends in Marketing Landscape

KEY TRENDS

IMPACT

Impact on Business

- $1.37 trillion in global digital ad spend by 2027
- 70% of ad spend comes from Meta, Amazon, and Google.
- 5,000 daily digital interactions per person by 2025.
- 108 gigabytes of data managed by Google alone.

Addressable market and SWOT

Industry at a Glance

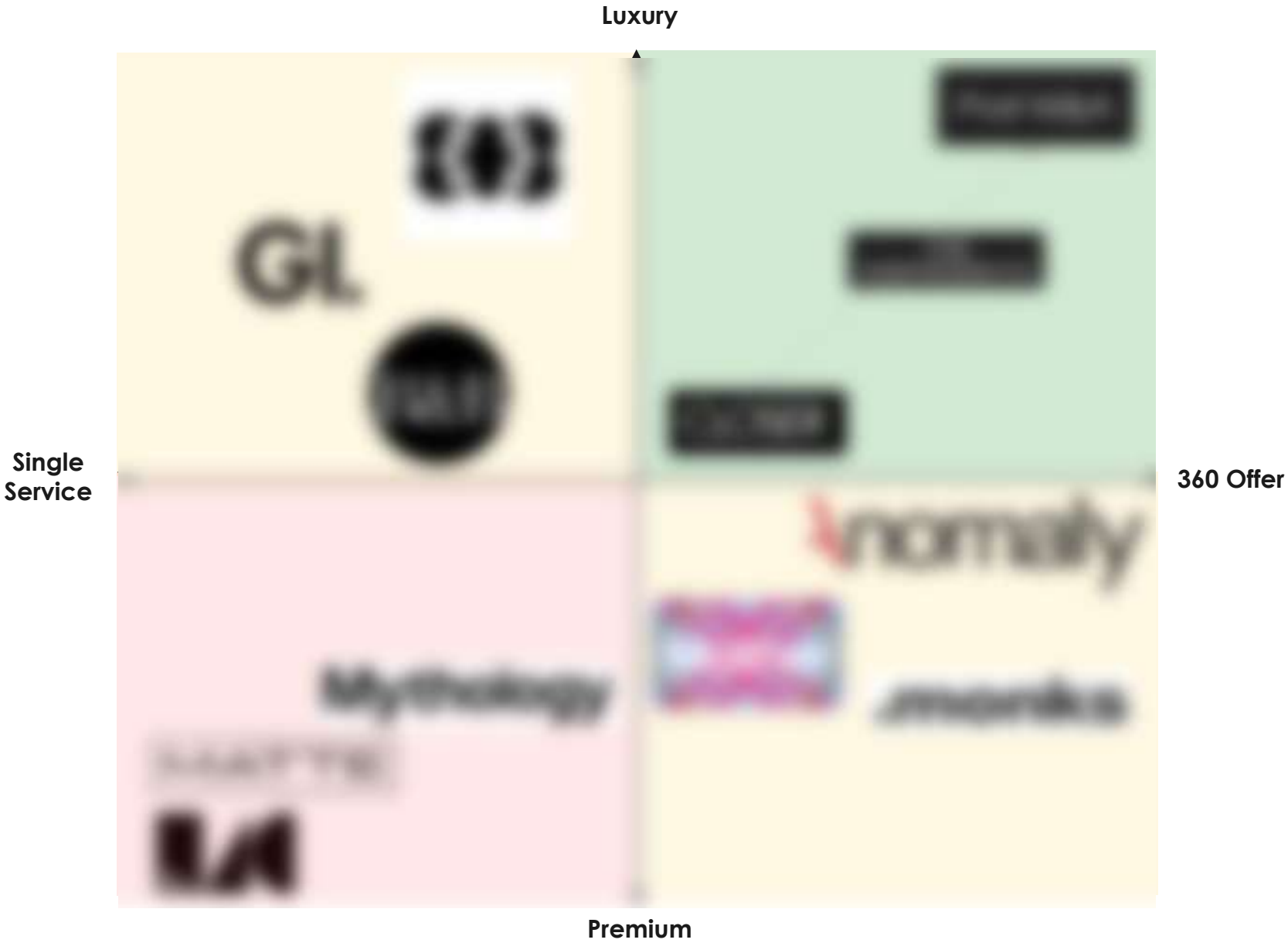
Revenue	$100B	^ 10.6%
Gross Margins	50%	^ 2.5%
EBITDA %	20-25%	^ 3.5%

Concentration	Low	
Life Cycle	Growth	
Competition	High	Increasing

Competitive Landscape | Creative Marketing

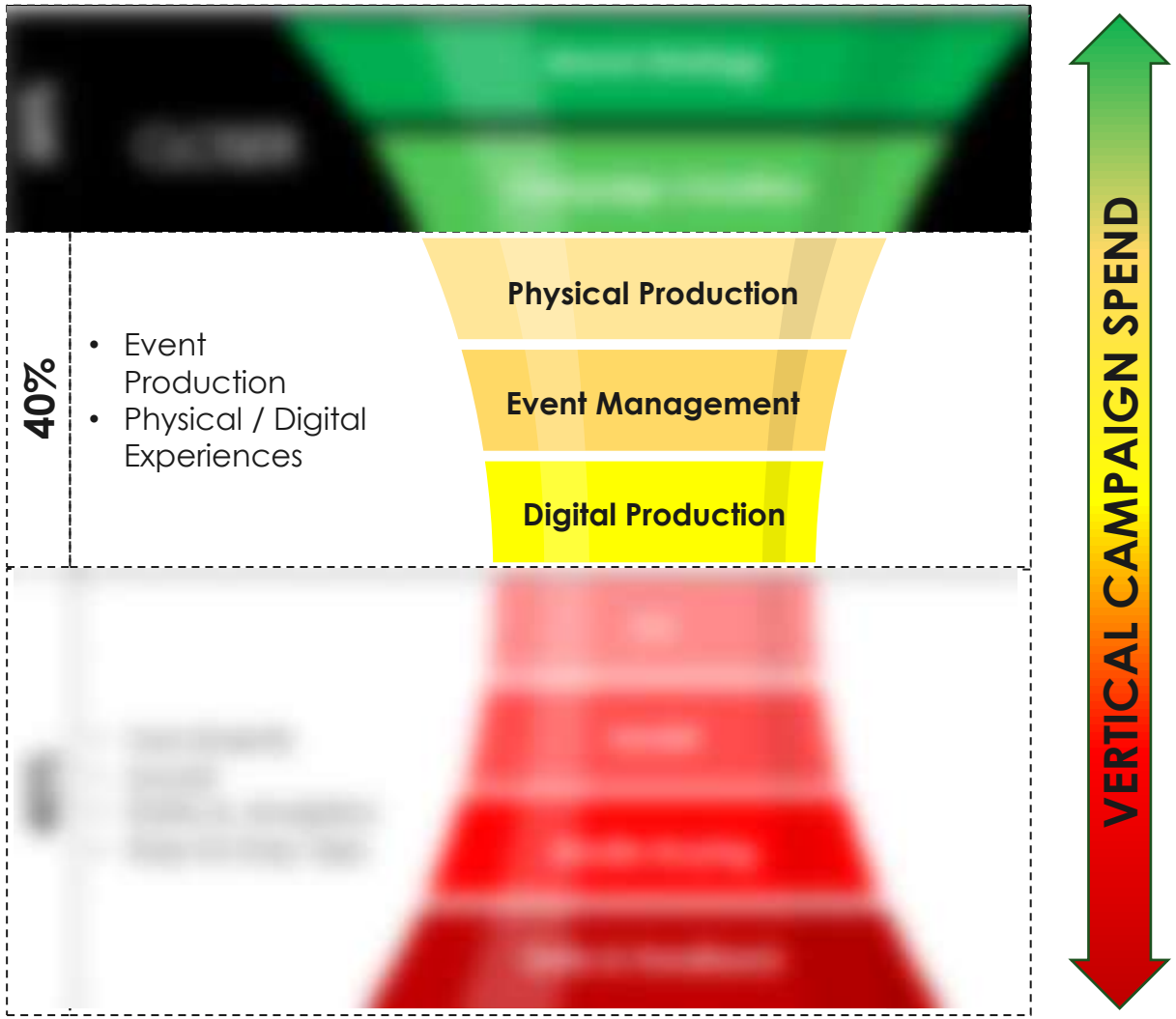
XY has all of the capabilities as our competitors

- With best-in-class strategy, we are closest to the CMO and key decision-makers



M&A Strategy Overview

- **CMOs rely on XY for Strategy and Creative**
  - Campaigns lean on strong relationships with partners to operate cutting-edge and buzz-worthy events
  - While XY conceptualizes and owns the relationship, the majority of campaign budget is outsourced to elite teams



M&A Target Identification & Goals

Capabilities

VERTICAL CAMPAIGN SPEND

Tier 1:
Global Creative Agency, Creative Studio

Tier 2:
Event Production, Influencer Marketing

Tier 3:
Digital Marketing, Motion CGI, Tech & AI Capability

M&A Target Identification: Firm Capabilities

Most Synergies

Industry / Segment	[illegible]	[illegible]	Price Point
Global Creative Agencies	[illegible]	[illegible]	£50M - £10M
Creative Agency / Studio	[illegible]	[illegible]	£50M - £10M
Influencer Marketing	[illegible]	[illegible]	£50M - £10M
Digital Marketing Agency	[illegible]		£50M - £10M
Experiential Production	[illegible]		£50M - £10M
Motion CGI	[illegible]	[illegible]	£50M - £10M
Tech & AI Capability (DATA)	[illegible]		£50M - £10M

Least Synergies

M&A Target Identification: Firm Capabilities

Most Synergies

Industry / Segment	[illegible]	[illegible]	[illegible]
360 Offer Creative Agencies	[illegible]	[illegible]	[illegible]
Single Service Creative Studios	[illegible]	[illegible]	[illegible]
Experiential Production	[illegible]	[illegible]	[illegible]
Motion CGI	[illegible]	[illegible]	[illegible]
Physical Production	[illegible]	[illegible]	[illegible]
Digital & Influencer Marketing	[illegible]	[illegible]	[illegible]
Tech & AI Capability (DATA)	[illegible]		[illegible]

Least Synergies

Target Qualification & Criteria for Acquisition

Firm Criteria & Quality Metrics	
Target Revenue	£50M-£100M
Target EBITDA	£10M-£20M
[illegible]	[illegible]
[illegible]	[illegible]
[illegible]	[illegible]
[illegible]	[illegible]
[illegible]	[illegible]
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[illegible]	[illegible]
[illegible]	[illegible]
[illegible]	[illegible]
[illegible]	[illegible]
Capabilities	Elite Operations / Capability

Key Agency Value Drivers we look for in acquisition target

Organization

Quality Leadership, Talent with deep expertise

Capabilities

AI & Tech Enablement

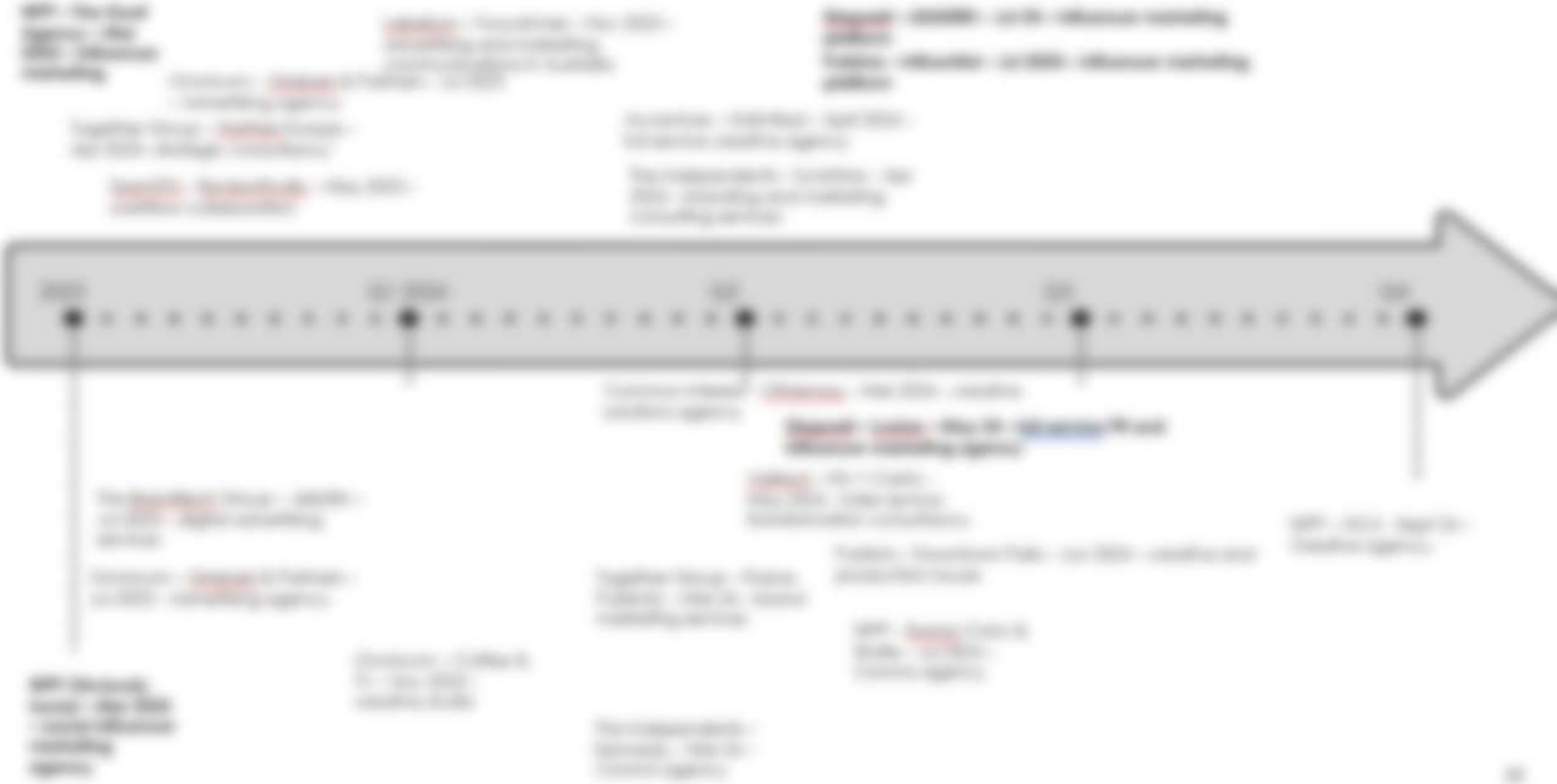
Clients

Diverse & Quality Clients

Financial

Billings & Revenue Scale & Predictability

Notable M&A Transactions



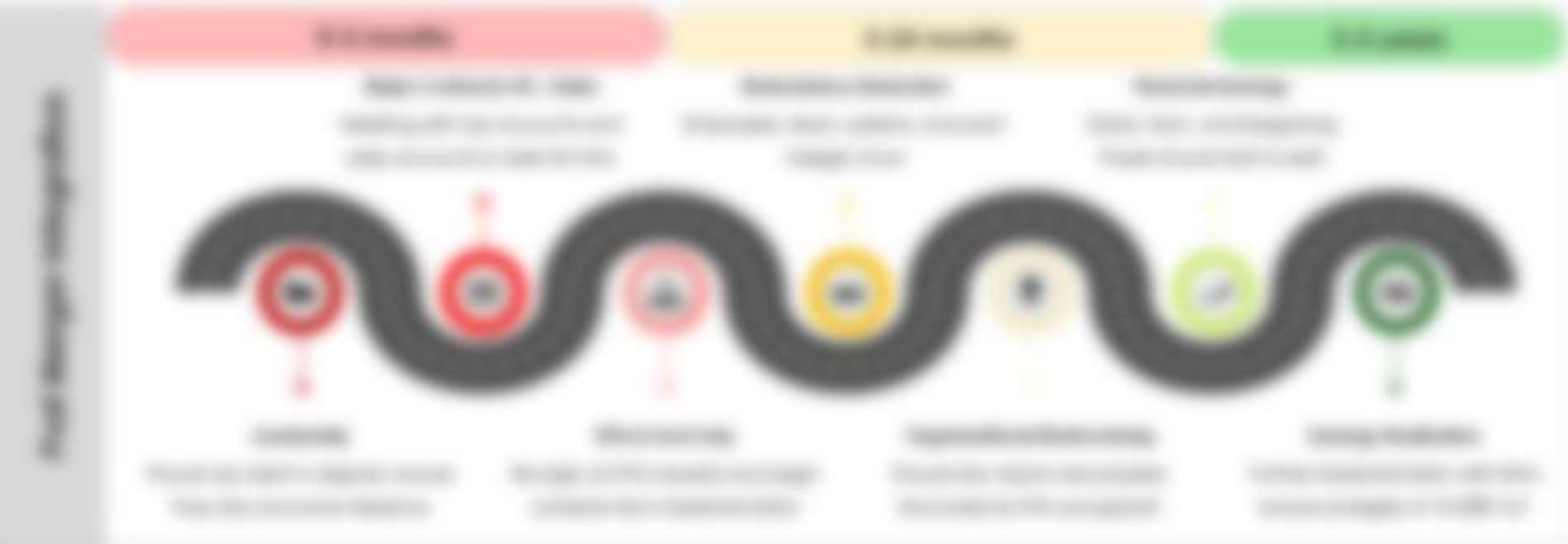
DD and Integration plan: From Search to Synergy

Due Diligence

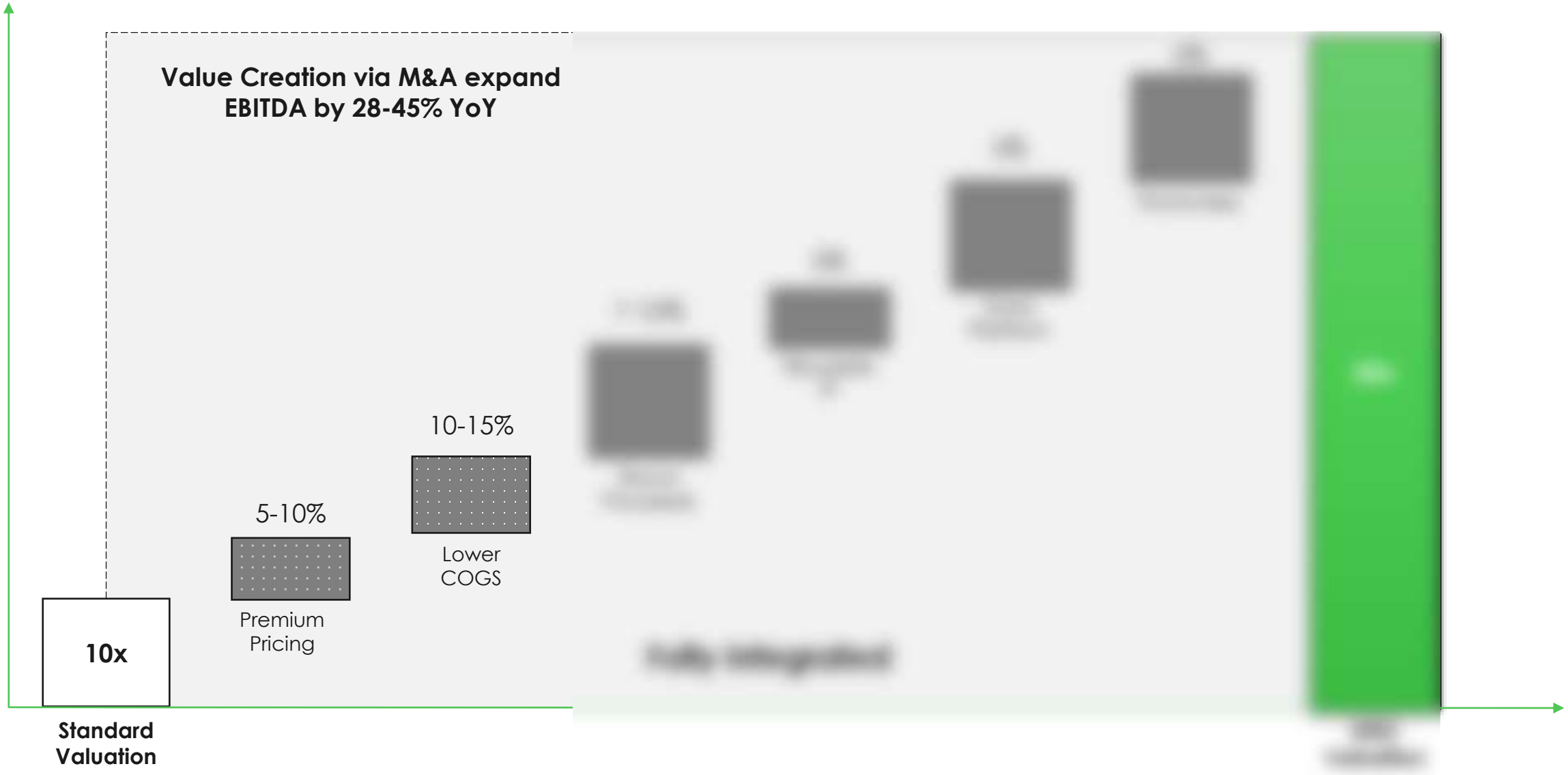
	Search		SME & Client Interviews		Team Organizational Structure
	External Evaluation		Internal / Financial Analysis		Total Rating vs Other Comps

Top 5-10
pre-selected annually

2 Acquisitions to
complete annually



Synergy Realisation and EBITDA Multiple

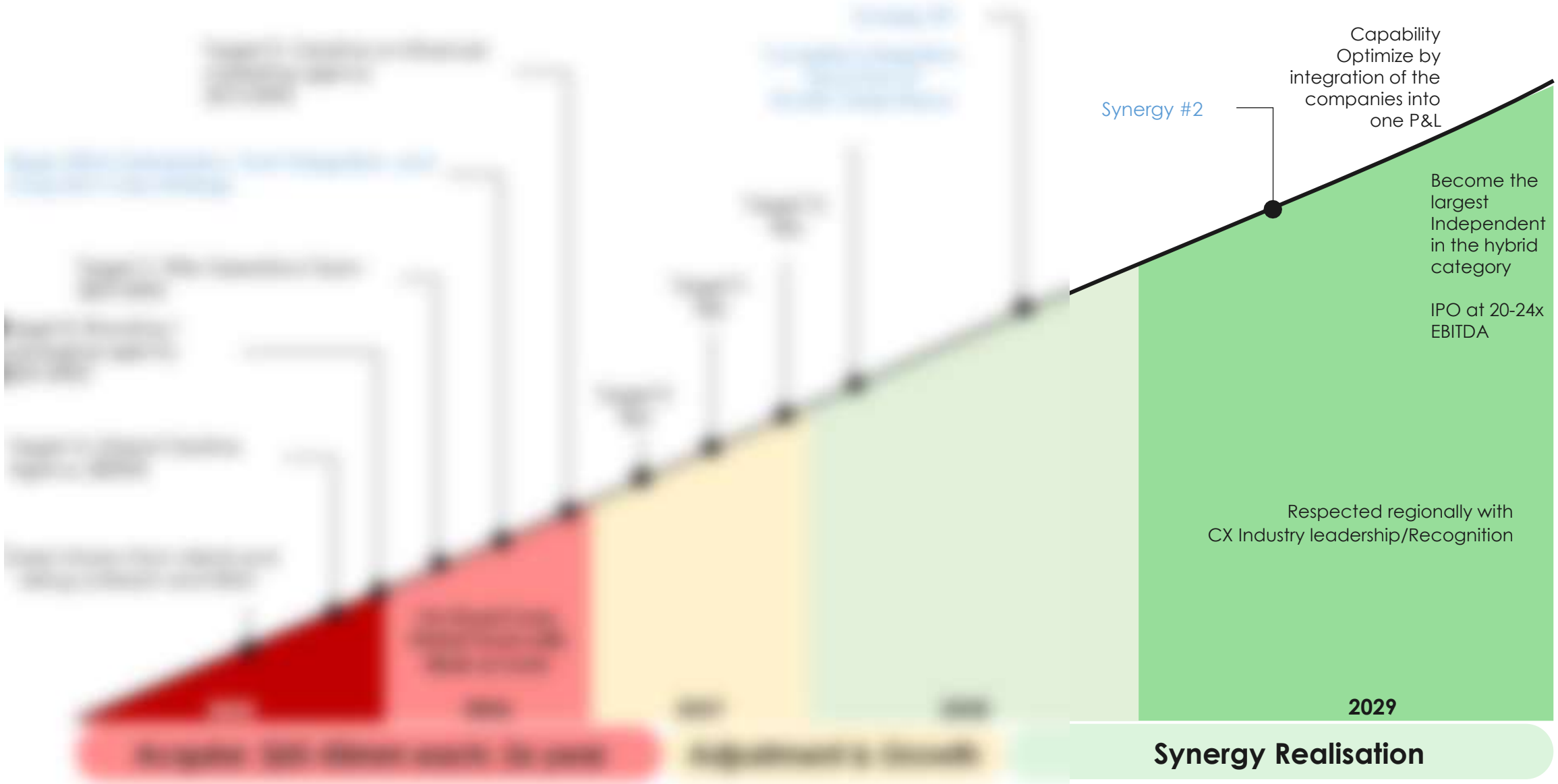


Risk & Mitigation Strategy

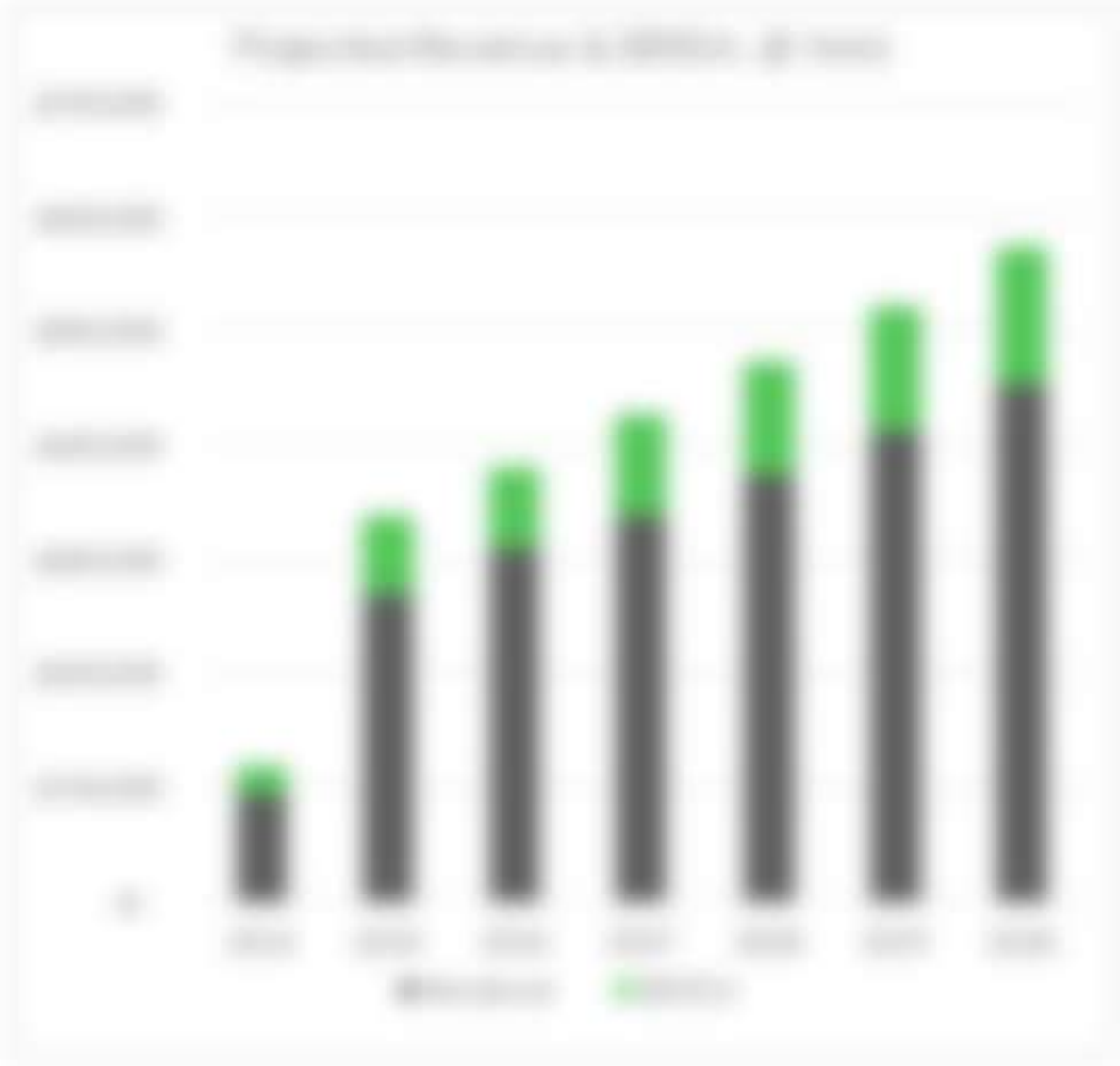
Risk	Consequences	Mitigation
[illegible]	[illegible]	Adhere to disciplined valuation practices and conduct thorough due diligence.
Integration Challenges	[illegible]	Mitigation: Develop a detailed integration plan and establish an experienced integration team.
Cultural Misalignment	[illegible]	Mitigation: Prioritize cultural fit during target identification and foster open communication post-acquisition.
Financial Strain	[illegible]	Mitigation: Maintain a balanced approach to financing and ensure debt levels are manageable.
Market Changes	[illegible]	Mitigation: Continuously monitor market trends and adjust acquisition strategy accordingly.

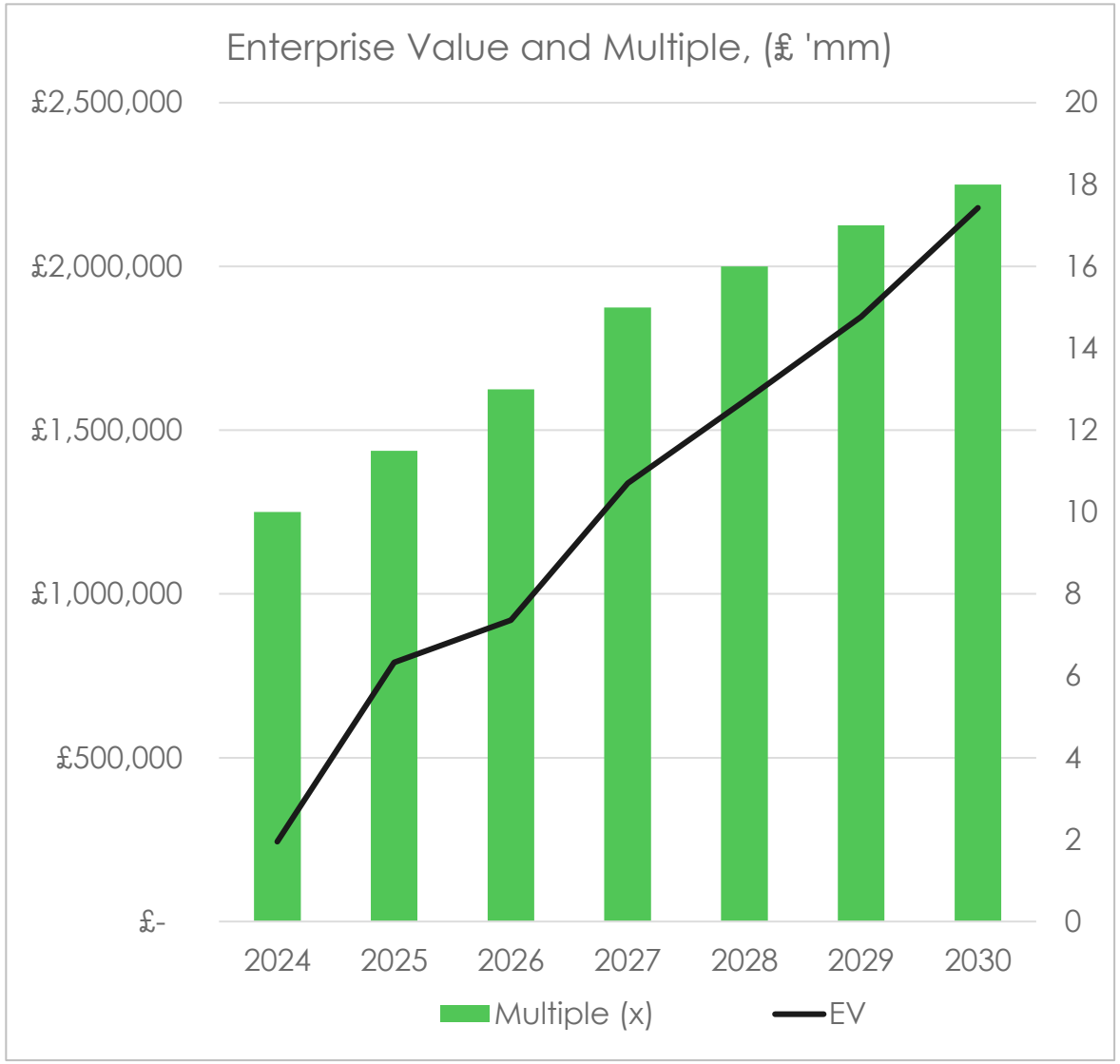
Clear Roadmap to a $2bn Revenue Enterprise by 2029

Milestone 1 | **Milestone 2** | **Milestone 3** | **Milestone 4**



Projected Financials, Revenue





Exit Strategy Options

SELL TO A PE FIRM AS A NEW INVESTMENT PLATFORM

60-80% in cash;
remainder for management incentive

- Opportunity to Scale: Build Asset via organic and inorganic growth

SHAMROCK CAPITAL ADVISORS

FALFURRIAS MANAGEMENT PARTNERS

WATERLAND PRIVATE EQUITY INVESTMENTS

PSP

How we will grow XY to hit 20X multiple

Applicable Multiple

10 | 12.5 | 15 | 17.5 | 20

5%	Service Driven	Business Model	Tech-Enabled
5%	Commoditized	Capabilities	Differentiated

Common Deal Structures

				Deferred
[illegible]	[illegible]	[illegible]	[illegible]	20– 40% as equity
[illegible]	[illegible]	[illegible]	[illegible]	20 – 40% as equity or 1-2 year earnout
[illegible]	[illegible]	[illegible]	[illegible]	True-up to 10 – 17x Avg. EBITDA on 3 – 5-year earnout
[illegible]	[illegible]	[illegible]	[illegible]	10 – 30% paid in 3 – 4-year earnout. Based on leadership/employee retention and Revenue

Typical ranges for marketing groups generating £250M – £500M of Net Revenue and £25 – 100M of EBITDA